

PARDEE RESOURCES COMPANY

3RD QUARTER 2021



Responsible Development of Natural Resource Properties
Integrity Creativity Excellence Respect Teamwork Family

To Our Shareholders:

During Q3 2021, Pardee Resources Company earned \$3.43 per share, a 28.5% increase versus \$2.67 per share earned during Q3 2020. EBITDA during the quarter was \$6.74 per share, as compared to \$5.57 per share during Q3 2020, an increase of 21%. Gains in commodity prices in our three primary markets -- hardwood timber, metallurgical coal, and natural gas -- led to the improvement in our operating performance. Separately, production declines in both coal and hardwood timber from our properties due to timing issues as well as labor and shipping constraints, held back our results. Revenues from our Alternative Energy Division declined during the quarter due to ongoing system repairs.

Oil & Gas Division: Natural gas prices continued to climb during Q3 2021, reaching levels not seen since 2014. Domestic demand was boosted by the post-COVID economic rebound while strong global demand led to an increase in U.S. LNG exports. Domestic natural gas storage levels, already depleted by unusually strong summer cooling demand, were at below average levels ahead of the winter heating season, which helped strengthen prices. Despite the strong prices, producers continued to limit new exploration and development in favor of reducing debt and building cash reserves. The average price realized by our lessees during the quarter was \$3.84 per Mcfe, an increase of 127% versus the \$1.69 per Mcfe realized during Q3 2020. The higher prices, combined with a modest 3% increase in production, resulted in Division revenues of \$2.51 million for the period, 135% above revenues of \$1.07 million realized during Q3 2020. The small production increase from our properties was due to an accretive Q1 2021 acquisition.

Metallurgical Coal Division: Metallurgical coal prices reached record levels during the quarter, with spot market prices for High Vol A exceeding \$330 per ton at U.S. east coast ports. U.S. exports have increased 9% YTD versus 2020 levels, as producers respond to the higher prices due in part to the weakening U.S. dollar since mid-year. While our average royalty received per ton increased 26% during the quarter versus Q3 2020 levels, our lessees are expected to benefit more fully from the higher prices during H1 2022 and beyond, as higher contracted prices take effect. An existing mine at our Pardee Land tract has moved off of our property while a new mine is scheduled to begin operations during 2022. Higher natural gas prices have led to a significant increase in global thermal coal demand and prices which in turn has driven renewed market interest in the Company's thermal coal reserves.

Timber & Surface Division: U.S. single family housing starts have trended above one million annually, providing strength in both softwood and hardwood markets. Hardwood exports, which have been under pressure since 2018, have increased year to date, with strong gains coming from Canada, Vietnam, Mexico, and the UK. With an oversupply of softwood on the stump, stumpage prices have remained flat, yet hardwood stumpage prices have improved significantly. During Q3 2021, the Company realized an average hardwood stumpage price of \$355 per mbf, 95% higher than Q3 2020 levels. Hardwood production was down 52% during the

quarter versus last year, as Q3 2020 saw particularly heavy production following the COVID shutdowns. Thus far in 2021, we have realized \$1.3 million in rural real estate sales, generating \$450,490 in pre-tax gains.

Alternative Energy Division: As Washington debates its new spending bill, it appears likely that the 30% investment tax credit (ITC) for renewable energy projects will be extended. As our corporate earnings and corresponding tax liability increases, we will be able to consider larger alternative energy investments which rely on the ITC. Division Q3 2021 revenues declined 26% versus Q3 2020, as our largest New Jersey solar PV facility remained offline while undergoing repairs, which are expected to be completed during Q4. During the quarter, we entered into new solar lease option agreements covering 1,918 acres in central West Virginia with an established solar PV developer.

Agriculture Division: Our California table grape ranches are expected to have another challenging year. The record summer hot weather in June and July caused harvest yields to decline throughout our region, while Covid-related shipping constraints have negatively impacted exports. Our late-season red varieties are realizing higher prices than in 2020 which should help our final results. At our 420-acre almond tree farm located in Evora, Portugal, a limited number of trees produced our first harvest in August 2021, with our first full harvest expected in 2022. Almond prices have recovered nicely in 2021 boding well for our future revenues.

Summary: With the health and safety of our employees being a top priority, most of our employees continued to work remotely during the quarter. The dedication and skill of our employees has allowed Pardee to operate smoothly throughout the pandemic, for which we are very grateful. The recent improvements in our operating results has enabled the Company to improve its strong cash position, which as of September 31, 2021 was \$24.8 million, allowing the Company to meet its dual goals of returning capital to shareholders and investing for future growth.

*Please see page 6 for an update of legal matters
Sincerely yours,



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Pardee Resources Company
Unaudited Consolidated Balance Sheets

(Dollars in Thousands)

ASSETS	<u>09-30-21</u>	<u>12-31-20</u>
Current Assets:		
Cash & Cash Equivalents	\$24,750	\$22,367
Accounts Receivable	7,718	7,030
Prepaid Income Taxes	2,401	2,745
Other	<u>3,981</u>	<u>1,150</u>
	<u>38,850</u>	<u>33,292</u>
Fixed Assets: (Net of Depl. & Deprec.)		
Land & Right of Ways	28,169	28,953
Mineral Rights - Coal	33,462	33,520
Timber	10,115	10,588
Solar Equipment	20,853	21,835
Building & Structures	1,214	1,273
Agriculture Development	8,554	8,709
Equipment	439	542
Automobiles	205	128
Other Fixed Assets	<u>1,037</u>	<u>988</u>
	<u>104,048</u>	<u>106,536</u>
Investments & Other		
Oil & Gas Investments (Net of Depl. & Deprec.)	37,010	38,576
Equity Investments	576	553
Right of Use Asset	3,359	3,561
Other	<u>332</u>	<u>408</u>
Total Assets	<u><u>\$184,175</u></u>	<u><u>\$182,926</u></u>
LIABILITIES & EQUITY		
Current Liabilities:		
Accounts Payable	\$2,553	\$2,709
Deferred Revenues	111	371
Current Portion Lease Liability	<u>612</u>	<u>612</u>
	3,276	3,692
Noncurrent Liabilities:		
Non-recourse Debt	1,227	1,227
Asset Retirement Liability	62	160
Supplemental Pension Plan	476	461
Deferred Revenue, Net of Current Portion	1,071	897
Deferred Taxes	19,696	19,696
Lease Liability	3,041	3,282
Other	<u>105</u>	<u>90</u>
Total Liabilities	<u>28,954</u>	<u>29,505</u>
Shareholder's Equity:		
Common Stock	775	775
Additional Paid in Capital	14,274	14,513
Accumulated Other Comprehensive Income	179	179
Retained Earnings	161,648	160,928
Treasury Stock	<u>(25,372)</u>	<u>(26,178)</u>
	151,504	150,217
Noncontrolling Interest	<u>3,717</u>	<u>3,204</u>
Total Equity	<u>155,221</u>	<u>153,421</u>
Total Liabilities & Equity	<u><u>\$184,175</u></u>	<u><u>\$182,926</u></u>

Pardee Resources Company
Unaudited Consolidated Income Statements

(Dollars in Thousands)

	Three Months Ended <u>09-30-21</u>	Three Months Ended <u>09-30-20</u>	Nine Months Ended <u>09-30-21</u>	Nine Months Ended <u>09-30-20</u>
Divisional Revenues:				
Metallurgical Coal	\$2,417	\$2,468	\$7,015	\$6,408
Oil & Gas	2,506	1,069	5,810	3,448
Timber & Surface	2,046	2,230	5,037	4,056
Alternative Energy	890	1,210	2,912	3,370
Agriculture	<u>27</u>	<u>0</u>	<u>(42)</u>	<u>253</u>
	<u>7,886</u>	<u>6,977</u>	<u>20,732</u>	<u>17,535</u>
Divisional Expenses:				
Metallurgical Coal	832	970	2,160	2,528
Oil & Gas	941	998	3,026	3,301
Timber & Surface	846	740	2,286	2,230
Alternative Energy	658	568	1,739	1,663
Agriculture	<u>100</u>	<u>163</u>	<u>420</u>	<u>596</u>
	<u>3,377</u>	<u>3,439</u>	<u>9,631</u>	<u>10,318</u>
Net Operating Income	\$4,509	\$3,538	\$11,101	\$7,217
Interest and Other Income	11	14	34	102
Gain (Loss) on Equity Investment	28	59	78	106
General and Administrative	(1,469)	(1,266)	(4,502)	(4,429)
Interest Expense	<u>(7)</u>	<u>0</u>	<u>(21)</u>	<u>0</u>
Income Before Taxes	\$3,072	\$2,345	\$6,690	\$2,996
Taxes	<u>845</u>	<u>625</u>	<u>1,840</u>	<u>794</u>
NET INCOME	\$2,227	\$1,720	\$4,850	\$2,202
Net Loss - Noncontrolling Interest	<u>28</u>	<u>23</u>	<u>87</u>	<u>17</u>
Net Income - Pardee Resources Shareholders	<u>\$2,255</u>	<u>\$1,743</u>	<u>\$4,937</u>	<u>\$2,219</u>
EARNINGS PER SHARE	<u>\$3.43</u>	<u>\$2.67</u>	<u>\$7.51</u>	<u>\$3.39</u>
EBITDA PER SHARE	<u>\$6.74</u>	<u>\$5.57</u>	<u>\$16.07</u>	<u>\$10.73</u>
(earnings before interest, taxes, depreciation and amortization)				
Weighted Average Number of Common Shares Outstanding	<u>656,993</u>	<u>653,983</u>	<u>656,993</u>	<u>653,983</u>
Common Dividend Per Share	<u>\$1.80</u>	<u>\$1.80</u>	<u>\$5.40</u>	<u>\$5.40</u>
Total Shareholder Return (dividend paid plus change in stock price)			<u>26.06%</u>	<u>-10.86%</u>

Pardee Resources Company Comparison Data Sheet

	Three Months Ended <u>09-30-21</u>	Three Months Ended <u>09-30-20</u>	% <u>Change</u>	Nine Months Ended <u>09-30-21</u>	Nine Months Ended <u>09-30-20</u>	% <u>Change</u>
Metallurgical Coal						
Revenues - Millions	\$2.42	\$2.47	-2.0%	\$7.02	\$6.41	9.5%
Production - Coal Tons - Millions	0.45	0.51	-11.8%	1.29	1.35	-4.4%
Royalty/Coal Ton	\$3.97	\$3.14	26.4%	\$3.77	\$3.07	22.8%
Oil & Gas						
Revenues - Millions	\$2.51	\$1.07	134.6%	\$5.81	\$3.45	68.4%
Production - bcfe	0.62	0.60	3.3%	1.82	1.88	-3.2%
Price/mcfe	\$3.84	\$1.69	127.2%	\$3.20	\$1.77	80.8%
Timber & Surface						
Revenues - Millions	\$2.05	\$2.23	-8.1%	\$5.04	\$4.06	24.1%
Production - Board feet - Millions	2.36	4.87	-51.5%	10.37	9.04	14.7%
Stumpage Price/Thousand Bd. Ft.	\$355.35	\$182.74	94.5%	\$288.79	\$193.84	49.0%
Production - Softwood Tons - Thousands	28.98	25.44	13.9%	48.70	46.12	5.6%
Stumpage Price/Ton Softwood	\$10.27	\$13.46	-23.7%	\$11.54	\$14.28	-19.2%
Production - Hardwood Tons - Thousands	8.84	12.68	-30.3%	37.40	26.64	40.4%
Stumpage Price/Ton Hardwood	\$4.34	\$2.56	69.5%	\$3.02	\$2.32	30.2%
Alternative Energy						
Revenues - Millions	\$0.89	\$1.21	-26.4%	\$2.91	\$3.37	-13.6%
Production - k/w - Millions	4.06	5.11	-20.5%	13.71	14.69	-6.7%
Electric Sales Price per k/w	\$0.112	\$0.110	1.8%	\$0.113	\$0.111	1.8%
Production - SREC Units	4,456	5,118	-12.9%	14,100	14,342	-1.7%
SREC Price/Credit	\$92	\$122	-24.6%	\$92	\$116	-20.7%
NET DIVISIONAL OPERATING INCOME:						
(Dollars in Millions)						
Metallurgical Coal	\$1.59	\$1.50	6.0%	\$4.86	\$3.88	25.3%
Oil & Gas	1.57	0.07	2142.9%	2.78	0.15	1753.3%
Timber & Surface	1.20	1.49	-19.5%	2.75	1.83	50.3%
Alternative Energy	0.23	0.64	-64.1%	1.17	1.71	-31.6%
Agriculture	(0.07)	(0.16)	56.3%	(0.46)	(0.34)	-35.3%
Net Operating Income	<u>\$4.52</u>	<u>\$3.54</u>	27.7%	<u>\$11.10</u>	<u>\$7.23</u>	53.5%
EBITDA - Millions	<u>\$4.43</u>	<u>\$3.64</u>	21.7%	<u>\$10.56</u>	<u>\$7.02</u>	50.4%
(earnings before interest, taxes, depreciation and amortization)						

On December 7, 2007, Lexington Land Development, LLC (Lexington) filed litigation against certain parties in East Baton Rouge Parish, Louisiana. Lexington claims that their 48-acre parcel was contaminated by a release from a pipeline owned and operated by Shell Pipeline Company (Shell), as well as the oil and gas exploration and production activities of other various defendants, including Zinn Petroleum Company (Zinn). Lexington seeks various remedies, including remediation and damages. The Company is not a defendant in this case; however, the Company has a minority interest in certain leases and wells operated by Zinn, and, under joint operating agreements, the Company and certain other interest owners are responsible for their respective shares of any damages or judgments sustained by Zinn.

Under Louisiana law, this litigation triggered attention from regulatory agencies. The Louisiana environmental regulatory agencies required Shell and other defendants, including Zinn, to submit plans for assessing soil and ground water conditions at the site. Shell completed its assessment and remediation which was approved by the agencies. Zinn's environmental experts have concluded their assessment and determined that Zinn's operations, which began in 1992, have been in compliance with regulatory standards. Zinn's experts have further determined that the data indicating the presence of certain constituents in the soil and shallow groundwater are the result of either former closed production storage pits used by other operators before Zinn began operations on the property or natural environmental conditions. Zinn's experts have also opined that the presence of these constituents is, for the most part, within applicable regulatory standards and not harmful to the environment. Finally, Zinn's experts have found defects in the methodology used by the plaintiff's experts and recommend that decisions regarding the need for assessment/restoration, as may be appropriate, be done under the direction of the regulatory agency in order to achieve regulatory closure status for the site.

On October 16, 2019, the District Court ruled that plaintiff's claims against co-defendant Chevron would be dismissed because they were not filed timely. This favorable decision was appealed by the plaintiff. The District Court denied this appeal and the plaintiff subsequently requested a rehearing from the Court of Appeals. This request for a rehearing was denied. The plaintiff has filed a request for discretionary review with the Louisiana Supreme Court. Discovery is not complete, and a trial date has not been set.

Zinn is vigorously defending both the civil and regulatory actions. This action is subject to substantial uncertainties concerning the outcome of material factual and legal issues related to the litigation. Accordingly, we cannot currently predict the manner and timing of the resolution of these matters and are unable to estimate the amount of any possible losses, which could be material.

DC Solar Solutions, Inc.

In December 2015, the Company invested \$7.7 million in a limited liability company (Fund) that purchased mobile solar generators (MSGs) from DC Solar Solutions, Inc. (DC Solar) and, in turn, leased the MSGs to DC Solar Distribution, Inc., an affiliate of DC Solar. In early 2019, the Company learned through public sources that, in December 2018, the U.S. government seized substantially all of the assets of DC Solar and its affiliates. In February 2019, DC Solar and its affiliates, including our lessee, filed for Chapter 11 bankruptcy protection. In February 2019, an affidavit from a Federal Bureau of Investigation special agent was filed in the bankruptcy proceeding asserting that DC Solar was operating a fraudulent "Ponzi-like scheme" and that a majority of the MSGs sold to investors and a majority of the lease revenues claimed to have been received by DC Solar Distribution, Inc. may not have existed. The Chapter 11 proceedings were subsequently converted to Chapter 7 liquidations. Due to the bankruptcy proceedings being converted to Chapter 7, the Company evaluated its remaining equity investment value of \$485,332 and recorded an impairment charge in that amount as of December 31, 2018.

In 2019, an independent audit located and identified all of the 125 MSGs purchased by the Fund in 2015. On July 2, 2020, the DC Solar Bankruptcy Court entered an order authorizing the sale of the Fund's MSGs, along with those of the other DC Solar funds. The buyer conducted an inventory of the MSGs to be purchased and was able to locate only 113 of the Fund's 125 MSGs that had been located during the 2019 inventory. In September 2020, the buyer closed on its acquisition of the 113 MSGs, yielding \$412,225 in gross sale proceeds. As a result of the MSG sale, the Company was required to recapture the fifth unvested year related to the underlying investment tax credit that the original investment yielded. In 2015, the investment allowed the Company to claim a \$5.6 million investment tax credit which requires a five-year holding period. The accounting for this investment tax credit in 2015 created a \$5.6 million tax asset while recording a direct write-off to the equity investment's carrying value. In 2020, the 20% investment tax credit recapture restored the investment's carrying amount to \$1.1 million or 20% of the original investment tax credit claimed. Subsequently, the Company recorded a \$1.1 million charge to 2020 pre-tax earnings related to this recapture. For tax purposes, the \$1.1 million charge is not tax deductible, and 20% of the original tax asset was removed from the Balance Sheet.

The Company remains vigorously engaged with other DC Solar investors, which include several major insurance companies and banks, to determine the best path forward to protect our interests and minimize the financial impact on the Company arising from the DC Solar fraud. Due to various substantial uncertainties, the Company is currently unable to determine the financial impact, if any, arising from this complex situation; however, this impact could be as much as \$6.1 million, which includes related tax impacts.

Forward Looking Statement

Certain of the statements contained herein (other than statements of historical facts) are forward-looking statements. Such forward-looking statements include estimates and assumptions related to the Company's growth, reserves, the state of future markets for natural resource, renewable and agricultural products, and the ability of the Company to sell its natural resource, renewable and agricultural products on a profitable basis. These forward-looking statements are subject to change and uncertainty which are, in many instances, beyond the Company's control and have been made based upon management's expectations and beliefs concerning future developments and their potential effect on the Company. There can be no assurance that future developments will be in accordance with management's expectations or that the effect of future developments on the Company will be those anticipated by management. Actual financial results, including revenue growth and earnings results, could differ materially from those anticipated by the Company depending on the outcome of certain factors, which may include, among others, changes in the wholesale prices for timber, oil, natural gas, coal, renewable and agricultural products; increases in property acquisition costs; adverse weather conditions; litigation; failures of our lessees to mine, drill and harvest at rates we currently anticipate; differences between actual reserves and estimated amounts; legislative changes or government regulations which make it more difficult or expensive to sell, extract or harvest our natural resource, renewable and agricultural products or impose greater financial burdens on the users of such products; unanticipated costs for remediation and reclamation; the scope of the fraud alleged to have been conducted by DC Solar; and other risks and uncertainties.

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